APPENDIX 4: STRUCTURAL ADJUSTMENT POLICIES FACT SHEET

Structural Adjustment Programs (SAPs)

WHEN: .
Structural Adjustment Policies (SAPs) were developed and implemented in the early 1980s to qualify highly indebted countries for new loans and or for debt rescheduling by both the World Bank and the International Monetary Fund (IMF). The 1982 debt crisis prompted these International Financial Institutions (IFIs) to develop SAPs as a means of regaining the confidence needed to lend financial resources to debt-ridden countries of the South.

WHAT:
The programs in question tend to combine an array of elements, such as: 1) the devaluation of national currency, to bring down the price of exported goods and attract strong currencies; 2) the reduction of public expenditure, to streamline administration and increase public savings; 3) the privatization of public firms; the deregulation of state-controlled industries; and 4) the reduction of subsidies to certain companies and products, to avoid inflation as a consequence of deflation.

WHY:
The main goal surrounding the enforcement of SAPs is to ensure that developing countries can service their external debt to developed nations and international financial institutions. Moreover, SAPs are intended to "move countries away from self-directed models of national development and toward outward-looking development models that stress the importance of complete integration in the dominant global structures of trade, finance and production." The neo-liberal ideology of economic development supports the implementation of SAPs, wherein an unregulated free market and private sector will promote unrestricted growth, and the benefits of this growth will trickle-down from the owners of capital to the population as a whole.

OK, BUT:
Those that have implemented or are in the process of implementing SAPs have succeeded in shrinking government deficits, while eliminating hyperinflation, and maintaining debt-payment schedules. However, many SAPs have failed to establish a base for sustainable, balanced economic development, and have left many local industries bankrupt due to privatization. Moreover, SAPs increase local dependency on food imports, social services and have increased income disparities in developing nations.

WEBSITES:
www.worldbank.org
www.imf.org

REFERENCES:
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